IN THE UNITED STATES DISTRICT COURT

FOR THE WESTERN DISTRICT OF PENNSYLVANIA

BRIAN ALBRIGHT, RICHARD NEWMAN, and JACOB MULLINS, Plaintiffs, v. CONCURRENT TECHNOLOGIES CORPORATION, CONCURRENT TECHNOLOGIES CORPORATION FOUNDATION, and ENTERPRISE VENTURES CORPORATION, Defendants.	))))))))))	Case No. 3:21-cv-00112-SLH Judge Stephanie L. Haines Electronically Filed

MEMORANDUM OF LAW IN SUPPORT OF DEFENDANTS' MOTION TO DISMISS PLAINTIFFS' COMPLAINT PURSUANT TO FED. R. CIV. P. 12(b)(6)

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I. INTRODUCTION

Plaintiffs claim that Defendants owe them certain payments pursuant to an Intellectual Property Reward Program based on their development of a coating system for and owned by Concurrent Technologies Corporation ("CTC") during Plaintiffs' employment with CTC. Additionally, Plaintiffs allege Defendants are liable for intentional infliction of emotional distress for the Defendants' alleged mistreatment of Plaintiffs during their employment. Plaintiffs' allegations lack specificity, fail to include the operative documents related to their employment, and are insufficient under Fed. R. Civ. P. 12(b)(6).

A. Identification of the Parties and Need for Dismissal of the CTC Foundation.

CTC is an independent, nonprofit, applied scientific research and development professional services organization. Defendant CTC Enterprise Venture Technologies ("EVC") (improperly referred to as "Enterprise Venture Technologies") is a for-profit, wholly-owned affiliate of CTC that transfers advanced technologies designed and created by others to the marketplace. Defendant Concurrent Technologies Corporation Foundation is the philanthropic arm of CTC, serving the public by providing information about emerging technologies and donating to charitable organizations. Unless otherwise stated, CTC and EVC are collectively referred to as CTC (despite their status as separate entities; they work together as affiliates often do).

At the outset, CTC notes that Plaintiffs' Complaint does not include any specific allegations against or otherwise explain the involvement of CTC Foundation in this dispute. The Counsel for CTC requested that Plaintiffs dismiss CTC Foundation since it has no involvement with the IP Reward Program. Counsel for Plaintiffs declined to do so, claiming (without factual support) that CTC Foundation is "directly involved in assignments of CTC's intellectual property" (which is not true). Plaintiffs make no such allegations against CTC Foundation in their Complaint. CTC respectfully requests that Plaintiffs provide a good faith basis consistent with Fed. R. Civ. P. 11 explaining their factual basis to include CTC Foundation as a party in this

lawsuit in their response to this Motion. The Court should dismiss CTC Foundation as a party. There is simply no good faith basis for naming this philanthropic foundation.

B. Plaintiffs Are Subject to IP Agreements and Are At-Will Employees.

Plaintiffs, as former employees of CTC, developed a cost-efficient coating system for military vehicles (the "TALON Invention"). *Id.* at ¶ 16. CTC maintains a manual entitled "Intellectual Property at CTC: Its Creation, Protection, & Transfer" (the "IP Manual"). *Id.* at ¶17. The IP Manual contains a section entitled "CTC Intellectual property Reward Program" (the "IP Reward Program"). *Id.* The IP Reward Program outlines the circumstances under which active employees may receive certain incentive payments for the development and sale of intellectual property. *Id.* CTC modified the IP Manual and the IP Reward Program numerous times throughout Plaintiffs' employment, and Plaintiffs do not dispute that they received copies of the updated IP Manual. *Id.* at ¶¶ 26, 30. The 4th, 5th, and 6th versions of the IP Manual are attached hereto and marked as Exhibits 1, 2, and 3, respectively. Plaintiffs also signed the attached agreements, which form the basis of their obligations to CTC and EVC. *See* Plaintiffs' Confidentiality Agreements attached hereto and collectively marked as Exhibit 4.

C. The IP Manual Determines Awards.

Regardless of the IP Manual at issue, CTC, at all relevant times, required employees to be active and in good standing in order to receive any inventive payments under the IP Reward Program. *Id.* at ¶ 20. All versions of the IP Manual prohibit Plaintiffs from receiving any incentive payments under the IP Reward Program because they were not active employees in good standing at the time any such alleged awards became due and payable.[1] As a result, Plaintiffs cannot maintain causes of action for breach of contract or unjust enrichment.

[1] Although CTC does not raise this issue for purposes of its Motion to Dismiss, CTC also disputes whether any payments would be owed regardless of Plaintiffs' employment status as the TALON invention has yet to generate any fees or royalties above and beyond the costs associated with the invention. Again, while Plaintiffs attempt to allege that fees are owed, they fail to provide any factual basis, ignore the plain requirements of the IP Manual and fail to address the costs associated with the Talon development and production, which are part of any calculation.

II. FACTUAL BACKGROUND AS SET FORTH IN THE COMPLAINT

A. Plaintiffs' Employment with CTC

CTC hired Brian Albright ("Albright") on September 16, 1994. *Pls. Compl.* at ¶ 12. Albright worked for CTC in its Johnstown, Pennsylvania facility from September 16, 1994 through December 31, 2009. *Id.* From January 1, 2010 until June 30, 2018, Albright worked for CTC in its Huntsville, Alabama facility. On July 1, 2018, Albright transferred to EVC and remained at the Huntsville, Alabama facility until his termination on May 6, 2020, following Applied Research Associates' ("ARA") acquisition of the Huntsville, Alabama facility. *Id.* at ¶¶ 12, 55.

CTC hired Richard Newman ("Newman") on May 12, 2008 in its Huntsville, Alabama facility. *Id.* at ¶ 13. Newman transferred to EVC on June 30, 2018 and remained at the Huntsville, Alabama facility until his termination on May 6, 2020, following ARA's acquisition of the facility. *Id.* ¶¶ 13, 55. EVC hired Jacob Mullins ("Mullins") on November 18, 2015 in its Huntsville, Alabama facility. *Id.* at ¶ 14.

III. LEGAL STANDARD

To withstand a motion to dismiss under Fed. R. Civ. P. 12(b)(6), a complaint must allege "enough facts to state a claim for relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). "A claim has facial plausibility when the pleaded factual content allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 664 (2009) (citations omitted). In deciding a motion to dismiss, the court "must accept the complaint's well-pleaded facts as true but may disregard any legal conclusions." *Fowler v. UPMC Shadyside*, 578 F.3d 203, 210 (3d Cir. 2009) (citing *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009)). Furthermore, "[t]hreadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice." *Iqbal*, 556 U.S. at 678.

IV. ARGUMENT

A. Plaintiffs' Claims for Punitive Damages and Attorneys' Fees

Plaintiffs seek punitive damages and attorneys' fees in connection with their claims for breach of contract, unjust enrichment, and IIED. Claims for breach of contract and unjust enrichment cannot not provide a basis for recovery of punitive damages and attorneys' fees. *Northridge Vill., LP v. Travelers Indem. Co. of Conn.*, 2016 WL 7428211 (E.D. Pa. Jan. 21, 2016); quoting *Johnson v. Hyundai Motor Am.*, 698 A.2d 631, 639 (Pa. Super. 1997) ("The law of Pennsylvania clearly provides…that punitive damages are not recoverable in an action solely based on breach of contract."); *see also Mozzo v. Progressive Ins. Co.*, 2015 WL 56740 192, *4 (E.D. Pa. Jan. 5, 2015) ("[A]ttorneys' fees are not available for breach of contract absent express statutory authorization, clear agreement between the parties, or a clear exception."); citing *Hardt v. Reliance Standard Life Ins. Co.*, 560 U.S. 242 , 252-53 (2010); *Sunshine v. Reassure America Life Ins. Co.*, 2012 WL 748669 (E.D. Pa. Mar. 6, 2012) ("[Plaintiff] cannot recover punitive damages for his claim of unjust enrichment").

In Pennsylvania, the standard for awarding punitive damages is set out in section 908 of the Restatement (Second) of Torts, which permits an award of punitive damages "for conduct that is outrageous, because of the defendant's evil motive or his reckless indifference to the rights of others." In evaluating a request for punitive damages, "one must look to the act itself, together with all the circumstances, including the motive of the wrongdoers and the relations between the parties." *Feld v. Merriam*, 485 A.2d 742, 747 (Pa. 1984) quoting *Chambers v. Montgomery*, 192 A.2d 355, 358 (Pa. 1963).

Punitive damages "are awarded only for outrageous conduct, that is, for acts done with bad motive or with a reckless indifference to the interests of others." *Smith v. Brown*, 423 A.2d 743, 745 (Pa. Super. 1980). As outlined above, the "extreme and outrageous" conduct of which Plaintiffs complaint with respect to their IIED claim is insufficient to support a claim for punitive damages. Even if Plaintiffs' IIED claim survive this Motion—which it should not—Plaintiffs do not offer sufficient facts to support any claim for punitive damages. Instead, Plaintiffs simply

allege (without factual support) that they are entitled to punitive damages for CTC's "willful, malicious, and intentional conduct." *Pls. Compl.* at p. 25.

Plaintiffs' "threadbare recital" of the elements for punitive damages, unaccompanied by supporting factual content, cannot withstand a motion to dismiss. *See Salvio v. Amgen Inc.*, 2012 WL 517446 (W.D. Pa. Feb. 15, 2012) (Plaintiff failed to allege any conduct that would rise to the level of seriousness necessary for imposing punitive damages and to satisfy the pleading standard.); *see also Allergino v. Conway E&S, Inc.*, 2010 WL 3943939 at *11 (W.D. Pa. Oct. 6, 2010) (dismissing punitive damages claim where "the factual allegations proffered in support of [plaintiff's] assertions of 'reckless and careless' conduct and 'evil intent and motive' were not sufficient to support a claim for punitive damages.").

Therefore, the Court should dismiss Plaintiffs' claims for punitive damages and attorneys' fees.

Date: September 7, 2021

Respectfully submitted,

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